

FIRST ADDENDUM TO LEASE AGREEMENT

This First Addendum to Lease Agreement (this “**First Addendum**”) is entered into as of the dates set forth below, but effective for all purposes as of February 1, 2020, by and between:

BELLE REALTY OF LAFAYETTE, L.L.C., a Louisiana limited liability company, whose current mailing address is Post Office Box 62230, Lafayette, Louisiana 70596 (hereinafter referred to as the “**Lessor**”); and

1ST FRANKLIN FINANCIAL CORPORATION, a corporation chartered under the laws of the State of Georgia, authorized to do business in the State of Louisiana, whose principal business establishment in the State of Georgia is located at 135 E. Tugalo Street, Toccoa, GA 30577 (hereinafter referred to as the “**Lessee**”).

WHEREAS, Lessor and Lessee entered into a certain Lease Agreement effective as of September 1, 2015 (the “**Lease Agreement**”, attached hereto as Exhibit “A”),

WHEREAS, the Initial Term expires on January 31, 2020; and

WHEREAS, Lessee desires to extend the Lease for a five (5) year period, from February 1, 2020 to January 31, 2025 (the “**First Renewal Term**”); and

WHEREAS, Lessee and Lessor desire to enter into this First Addendum to memorialize Lessee’s extension of the term and to provide for related matters.

NOW THEREFORE, in consideration of the foregoing the mutual covenants contained herein and other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged the parties hereto agree as follows:

1. The Lessor and the Lessee do, by execution hereof, agree that the Lease Agreement is hereby extended for Sixty (60) months beginning February 1, 2020 and expiring January 31, 2025 (“**First Renewal Term**”).
2. The Lessor and the Lessee hereby agree to amend **Section 4.01- Rent** of the Lease Agreement such that Base Rent and Additional Rent during the First Renewal Term shall be calculated as follows.
 - a) Base Rent during the First Renewal Term shall be \$16.00 per square foot per year, payable monthly (“**Base Rent**”);
 - b) With respect to **Additional Rent**, the amount of Common Area Maintenance Charges for the First Renewal Term is estimated to be \$2.10 per square foot of the Premises per annum, payable monthly, and the amount of Taxes and

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Insurance Charges for the First Renewal Term is estimated to be \$1.85 per square foot of the Premises per annum, payable monthly; and

- c) Beginning on first day of the First Renewal Term and extending through the last day of the First Renewal Term, the Total Monthly Rental Payment shall be calculated as follows:

Base Rent		\$ 2,556.00
Common Area Maintenance Charges		\$ 335.48
Taxes and Insurance Charges		\$ 295.54
Total Monthly Rental Payment		\$ 3,187.02

3. The Lessor and the Lessee hereby further agree the subsection entitled "Payment of Rent" following Section 4.01(B)(3) of the Lease Agreement, which was intended to be designated as Section 4.01(B)(4), but which was inadvertently not labeled as subsection (4), shall now be designated correctly as Section 4.01(B)(4), entitled "**Payment of Rent**" and be further amended to read in its entirety as follows:

"The monthly payment of the Base Rent and Additional Rent for the Premises (collectively, the "Total Monthly Rental Payment") shall be due on the first day of each calendar month. The Lessor and Lessee hereby acknowledge and agree that the Lessee shall be obligated to make monthly Additional Rent payments beginning with the Commencement Date.

In the event the Lessor does not receive the Total Monthly Rental Payment on or before the fifth day of the calendar month, a late fee in the fixed amount of \$100.00 plus a daily charge beginning on the sixth day of the calendar month in the amount of \$25.00 per day shall be charged and shall be due and payable by the Lessee for each late payment.

All rental payments due hereunder shall be made to the Lessor by mailing the same to P.O. Box 62230, Lafayette, Louisiana 70596 or such other place, as the Lessor shall designate in writing. Notwithstanding the foregoing, Lessor shall have the right to require at any time during the Initial Term that the Total Monthly Rental Payment and any other payments due to Lessor be paid to Lessor via electronic funds transfer, automatic wire transfer, ACH payment transfer, or other automated electronic payment method for deposit into and credit to a bank account designated in writing by Lessor."

4. The Lessor and the Lessee hereby agree to amend **Section 9.01 - Maintenance, Repairs** of the Lease Agreement to now read in its entirety as follows:

"Lessee acknowledges that the Premises are in good order and repair. Lessee shall, at his own expense and at all times, maintain the Premises in good and

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safe condition, make all necessary repairs and replacements including, but not limited to the heating and air conditioning systems and components thereof serving the Premises, and shall surrender the same at termination hereof, in as good condition as received, normal wear and tear excepted. Lessee shall be responsible for all repairs required, excepting the roof, exterior walls, doors, plate glass and structural foundations including any utilities that may be run through the subfloor or foundations, which shall be maintained by Lessor. Lessee shall also be responsible for keeping at all times areas immediately adjacent to the Premises, such as sidewalks and parking areas free and clear of trash and other refuse. Lessee shall promptly repair any damage to any part of the building in which the Premises is located in the event such damage is caused by or attributable to the actions or inactions of Lessee, its employees, officers, directors, shareholders, members, partners, representatives, agents, customers, guests, invitees or licensees, to the extent to which such is not covered by insurance under Section 15.01. Notwithstanding the foregoing, the Lessor shall be responsible for the repair and replacement, if necessary, of the heating and air conditioning ("HVAC") systems servicing the Premises provided that (i) the Lessee shall pay the first \$750.00 for each repair visit and/or the first \$750.00 toward the replacement cost of the HVAC systems or any component thereof and (ii) the Lessee maintains, at its own expense, for the full term of this lease and any renewal or extensions thereof, a monthly maintenance contract with Butcher Air Conditioning or other reputable A/C contractor for regular routine maintenance to the HVAC systems and components thereof. Further provided, in the event it is determined by the HVAC maintenance provider the HVAC systems or any component thereof must be replaced and such replacement is made within fifteen (15) days of a repair visit made by such HVAC maintenance provider ("Preceding Repair Visit") (not including a routine maintenance visit pursuant to a monthly maintenance contract), then the amount paid by the Lessee toward the cost of the Preceding Repair Visit shall be credited toward the Lessee's obligation to pay the first \$750.00 toward the replacement cost of the HVAC systems.

Lessee further agrees to maintain the Premises in clean and healthful condition and to comply with all laws, ordinances, orders, rules and regulations (state, federal, municipal and any other agencies or bodies having any jurisdiction thereof) with respect to the use, condition or occupancy of the Premises.

In discharging the responsibilities hereunder, Lessee shall utilize the services of bonded, licensed contractors to perform all maintenance or repair work to the Premises.

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Lessee agrees to hire Butcher Air Conditioning or other reputable A/C contractor to perform all maintenance, repairs and replacements of the heating and air conditioning systems and components servicing the Premises; Lessee agrees to hire A&P Electrical Services and/or Magnon Electric to perform all maintenance, repairs and replacements of the electrical system and components servicing the Premises provided the rates of both Butcher Air Conditioning and Magnon Electric are comparable to other similar providers of HVAC and electrical service in the immediate area.”

5. The Lessor and the Lessee hereby agree to amend **Section 11.01- Utilities and Janitorial Services** of the Lease Agreement to now read in its entirety as follows:

“Lessee shall pay before same becomes delinquent, all utility and service charges for utilities or services furnished to the Premises or used by the Premises or the Lessee, including, without limitation, electricity, gas, water, telephone service and trash collection. Lessee shall be responsible for maintaining the Premises in accordance with the terms hereof and shall be responsible for the payment of any costs or expense with respect to any janitorial services provided to the Premises, and Lessee shall be responsible for the trash or refuse disposal services to the trash or refuse generated by or related to the Premises.

At the commencement of the Initial Term, Lessee shall immediately transfer electric utility service from the name of Lessor to the name of Lessee. If the Lessee fails to immediately transfer electric utility service to the name of Lessee, Lessor may, at its discretion, (i) direct the electric utility provider to discontinue service to the Premises in Lessor’s name, or (ii) make electric utility payments on behalf of Lessee and require that Lessee remit to Lessor full reimbursement for such payments together with a \$100.00 administrative fee for each payment required to be made by Lessor.

Lessee shall not disconnect the electricity, gas or water at any time during the term of this Agreement, including in anticipation of the termination of the tenancy created herein. Upon termination of the term of this Agreement, or in anticipation thereof, Lessee shall give Lessor reasonable written notice of its intent to disconnect electricity, gas and/or water service. Upon receipt of written notice to disconnect, Lessor may require, in its sole discretion, that Lessee cooperate with Lessor and do all things necessary to allow such utilities to be transferred into Lessor’s name prior to disconnection.”

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Lessee’s Initials _____

6. The Lessor and the Lessee hereby agree that the terms and conditions of this First Addendum shall be kept confidential between the Lessor and Lessee and shall not be disclosed to any other persons, including but not limited to any tenants or occupants of On The Boulevard Shopping Center. The Lessee acknowledges that the foregoing covenant of confidentiality constitutes a portion of the consideration delivered to the Lessor to induce the Lessor to execute and deliver this First Addendum and any breach thereof shall constitute an event of default by the Lessee under the Lease Agreement.
7. Provided that Lessee is not in default beyond any applicable notice and cure period in the performance of the Lease Agreement during the First Renewal Term, Lessee shall have the option to renew and further extend the term of the Lease Agreement for an additional term (the “**Second Renewal Term**”). The Second Renewal Term shall be for five (5) years commencing on the next day following the expiration of the First Renewal Term. All of the terms and conditions of this Agreement shall apply during the renewal term except that the monthly rental amount shall be negotiated and subject to increase, but in no event shall the Base Rent increase by more than ten (10%) percent.. The option to renew shall be exercised by written notice given to Lessor by Lessee not less than sixty (60) days prior to the expiration of the First Renewal Term. If notice is not given in the manner provided herein and within the time specified, this option to renew shall terminate.
8. All capitalized terms used herein and not otherwise specifically defined herein shall have the meanings ascribed to those terms in the Lease.
9. All the terms and provisions of the Lease Agreement shall be applicable during the First Renewal Term except as expressly set forth in this Addendum.
10. The remainder of the terms of the Lease Agreement not specifically amended by First Addendum shall remain and be in full force and effect.
11. This First Addendum may be executed in two or more counterparts each of which, when executed and delivered as prescribed, shall constitute an original.

Lessor's Initials _____

Lessee's Initials _____

THUS DONE AND SIGNED as of the date set forth below by the Lessor.

LESSOR:

BELLE REALTY OF LAFAYETTE, L.L.C.,
a Louisiana limited liability company

By: _____

Adam Abdalla

Its: Authorized Representative

Dated: _____

THUS DONE AND SIGNED as of the date set forth below by the Lessee.

LESSEE:

1ST FRANKLIN FINANCIAL CORPORATION,
a corporation chartered under the laws of the State of Georgia

By: _____

Printed Name: _____

Its: _____

Dated: _____

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Lessee's Initials _____